

Recalibrating crude baskets and optimising logistics during uncertain times is also critical in managing both cost and continuity, and it allows refiners to capture immediate market opportunities and navigate sudden supply voids.

“More broadly, such episodes accelerate some long-term trends—greater diversification of crude sourcing, increased investment in equity oil and overseas assets, more emphasis on Open Acreage Licensing Policy or OALP (exploration and production in India), faster policy push towards energy transition and reduced import dependence,” he says.

BPCL has widened the crude oil basket to 106 types from 39 different countries and upgraded refineries like Bina and Kochi to process 100% high-sulphur crude, providing the flexibility to choose “challenging but discounted” crude oils that lower feed costs.

Tools like BPMARRK (real-time crude characterisation) and the K Model (for compatibility) enable experts to adjust operating parameters dynamically, preventing fouling and maximising yields from diverse crude recipes.

BPCL refineries achieved a record throughput of 40.51 MMT at 115% utilisation in FY25. According to Krishnakumar, it extended its market dominance by delivering record market sales of 52.40 MMT in the same period. Every marketing strategic business unit (SBU)—retail, LPG, lubes, aviation, industrial and commercial and gas—achieved highest-ever sales.

BPCL is building a future-ready portfolio by not merely reacting to the energy transition but leveraging it as a growth engine.

Krishnakumar says OMCs such as BPCL must follow a two-pronged strategy: strengthen and expand the existing core business to capture current market opportunities, while simultaneously investing in future growth areas and bold diversification bets to stay ahead of long-term demand shifts.

“The core goal is to build a resilient

RULING THE OIL SECTOR

01 **During Krishnakumar's tenure, the company strengthened its crude oil trading capabilities**

02 **BPCL also established a crude oil trading desk in Singapore during his tenure**

03 **A strict capex guardrail is the key to remaining profitable in a capital-intensive sector**

04 **BPCL delivered record sales in FY25**



and modernised refining system capable of handling global volatility. Beyond volume, we focused on crude sourcing flexibility, enabling our refineries to process over 100 varieties of crude. This operational agility ensures we can always opt for the most cost-effective feedstock, maintaining our industry-leading gross refining margins,” he says.

The aim is to transform BPCL from a pure refiner-marketer into a vertically integrated energy player. The company aims to achieve equity oil security by moving discoveries in Mozambique and Brazil towards production. This will de-risk the supply chain from geopolitical disruptions and redraw trade routes while ensuring the upstream business delivers a positive cash flow for the company. “We must prioritise monetisation of world-class assets in Mozambique and Brazil to secure reliable access to equity oil, de-risking ourselves from the volatile global market. Strengthening strategic petroleum reserves is a critical buffer against sudden shocks,” says Krishnakumar.

For Krishnakumar, who took over as CMD in 2023, a key milestone during his tenure was achieving the highest-ever profit of ₹26,000 crore in FY24. In 2020, the government decided to divest BPCL, but called off the plan in 2022. The divestment proposal affected the company; it undertook limited investments and few projects. Also, the morale of employees was low, with some people leaving the organisation.

“When I took over, there was a lot of uncertainty, so rebuilding trust and confidence was my priority. The team rose to the occasion and delivered a superlative performance, which was the icing on the cake,” he says.

It’s a cooling-off period till April 2026 for him, but Krishnakumar, who spends his time between Mumbai and Kozhikode, is looking forward to using his knowledge and expertise for the betterment of the country. **BT**

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